

denominator of valuation should be transaction volumes, not earnings, as these are not companies with cash flows.

One would assume that an efficient price for an asset would indicate a steadiness of network value to the transaction volume of the asset. Increasing transactional volume of an asset should be met by a similar increase in the value of that asset. Upside swings in pricing without similar swings in transaction volume could indicate an overheating of the market and thus, overvaluation of an asset.

Over time, the market will likely find a happy medium for this ratio, just as equity markets find a happy medium for price to sales or price to earnings ratios. Cryptoassets, including bitcoin, are still too young with too little market data to claim exactly where this equilibrium ratio will stabilize. That said, looking at [Figure 13.21](#), it appears that bitcoin has a comfortable base when its network value is 50 times its daily transactional volume. Maintaining a price that keeps the ratio near 50 could indicate that the asset is being fairly priced, and wide swings beyond that range can signal bearish or bullish trends.